

Page Industries Ltd

21 May 2026

Q4 topline aided by volume recovery; margins impacted by RM inflation

RESULT UPDATE

Sector: Apparel **Rating:** HOLD
CMP: Rs 38,403 **Target Price:** Rs 39,882

Stock Info

Sensex/Nifty	75,183 / 23,655
Bloomberg	PAG IN
Equity shares (mn)	11.2
52-wk High/Low	Rs 50,471 / 29,800
Face value	Rs 10
M-Cap	Rs.428bn/US\$4.4bn
3-m Avg Turnover	US\$ 9mn

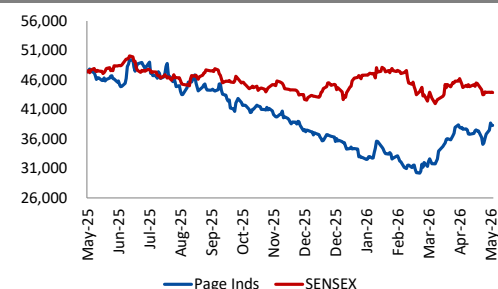
Financial Snapshot (Rs mn)

Y/E Mar	FY26	FY27E	FY28E
Sales	52,468	57,132	63,176
PAT	7,988	7,915	8,897
EPS (Rs)	716	710	798
PE (x)	53.4	53.9	47.9
EV/EBITDA (x)	36.6	36.2	32.2
P/BV (x)	28.4	25.9	23.6
EV/Sales	8.1	7.4	6.6
RoE (%)	54.9	50.3	51.5
RoCE (%)	76.0	70.4	72.2
NWC (days)	65	56	56
Net gearing (x)	-	-	-

Shareholding Pattern (%)

	Mar 26	Dec 25	Sept 25
Promoter	42.9	42.9	42.9
-Pledged	-	-	-
FII	19.0	20.7	23.2
DII	32.5	30.8	28.5
Others	5.6	5.6	5.4

Stock Performance (1-year)



Page Industries (PAG) 4QFY26 performance was better than expected. Revenue/ EBITDA/ PAT growth stood at 14.1%/ 10.8%/ 9% YoY respectively. Volumes grew 10.8% YoY to 54.5 mn pieces. Gross margin declined 248 bps YoY to 58.4%. EBITDA margin declined 62 bps YoY to 20.8%. Employee cost decreased 77 bps YoY and other operating expenses decreased 109 bps YoY. Adjusted PAT grew 9% YoY to Rs 1.79 bn.

The quarter witnessed a notable improvement in consumer and retail demand across categories and channels. This performance was driven by a series of strategic initiatives, including strengthening distributor inventory health, intensifying brand-building efforts, accelerating product innovation, and expanding retail and manufacturing capacities. Premiumization trends continued to gain traction as consumers increasingly shifted towards value-added premium products and outerwear categories, resulting in improved average selling prices. Additionally, calibrated price adjustments across select product lines ensured better portfolio alignment and value realization. During the quarter, inflationary pressures in key input costs, particularly cotton and other raw materials, remained elevated. However, the impact of these headwinds was effectively mitigated through strategic sourcing initiatives, supply chain optimization measures, operational efficiency improvements, and selective pricing interventions.

Management's confidence in sustaining double-digit volume growth in FY27 appears constructive. Over FY27/ FY28E we have revised our revenue estimates upwards by 2.6%/ 2.9% respectively building in revenue growth of 8.9% in FY27E and 10.6% in FY28E. However, our estimates still remain relatively conservative incorporating the possibility of moderation in recovery, while also factoring in the uncertain consumption environment and elevated competitive intensity in select categories. On margins, despite gross margin pressure from elevated cotton and raw material costs, EBITDA margin decline remained relatively contained during the quarter, supported by operating leverage, procurement efficiencies, supply chain optimization, and cost discipline. Management reiterated its long-term EBITDA margin guidance of 19%–21%, despite plans to increase investments in technology and marketing. Against this backdrop, our EBITDA margin estimates of 20.3% for FY27 and 20.6% for FY28 appear broadly aligned with management's aspirations.

We have built in revenue/ EBITDA/ PAT CAGR of 9.7%/ 6.2%/ 5.5% over FY26-FY28E. We maintain our HOLD rating with a revised TP of Rs 39,882 (vs Rs 37,748 earlier) based on 50x Mar 2028 EPS, a ~15% discount to PAG's long-term average multiple of ~60x.

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Earnings call takeaways

Financial highlights

- Quarterly growth - For Q4 FY26, revenue grew by 14.1% year-on-year to ₹12,526 million, while sales volume increased by 10.8% to 54.5 million pieces.
- Operational metrics - Inventory days increased to 73 (from 64 at the start of the year), and net working capital days stood at 56. The company operates through a vast network of 116,600+ multi-brand outlets (MBOs) and 1,615 exclusive brand stores (EBOs).

Key demand drivers / Segment performance

- Athleisure revival - Management noted a significant revival in the athleisure category as the distributor inventory correction, which had lasted nearly two years, reached its end.
- Channel strategy - The company is successfully transitioning from a "push" model to a "pull" model (auto-replenishment), leading to a more normalized sales curve across the 4 quarters of the year.
- Premiumization - Success in value-added premium products, such as the "bonded collection" and "Jockey Groove" (which sold out faster than anticipated), supported average selling prices.
- E-commerce strength - The digital channel now contributes 15% of the top line and continues to grow healthy.

Pricing and inflation management

- Calibrated price hikes - ~2% weighted average price increase was initiated in mid-January. This hike was specifically for product enhancements (e.g., heavier fabrics or zipper pockets) rather than inflation.
- Future actions - Management anticipates a further price hike in Q1 FY27 to mitigate rising input costs, particularly in cotton.
- Margin guidance - While FY26 saw elevated margins of 22% due to lower marketing spends, the company has maintained its long-term EBITDA margin guidance of 19% to 21%. This range accounts for increased investments in technology and marketing (targeting 5% of sales).

Inventory and supply chain strategy

- Strategic buildup - The increase in inventory was a conscious decision to hedge against anticipated raw material price hikes and to ensure adequate stock for a typically heavier Q1.
- Manufacturing efficiencies - The company believes it has not yet peaked out its margin potential, expecting further gains as new plants, such as those in Odisha, hit maturity and reach optimal production efficiency.
- Subsidies - Page Industries expects to start realizing government subsidies (wage, power, and capital investment) in FY27, estimated at Rs 400–500 mn.

Competitive landscape

- Market consolidation - Management observed a reduction in competitive intensity as several D2C (Direct-to-Consumer) brands have scaled back their offline presence or reduced aggressive discounting and marketing spends.
- Market leadership - Jockey remains the number one brand across top e-commerce platforms in both men's and women's innerwear.

Outlook

- Management expressed confidence in sustaining double-digit volume growth momentum in FY27.
- They emphasized that their primary focus remains on volume growth, and they are prepared to absorb some inflationary pressure to protect demand if necessary.

Exhibit 1: Quarterly performance

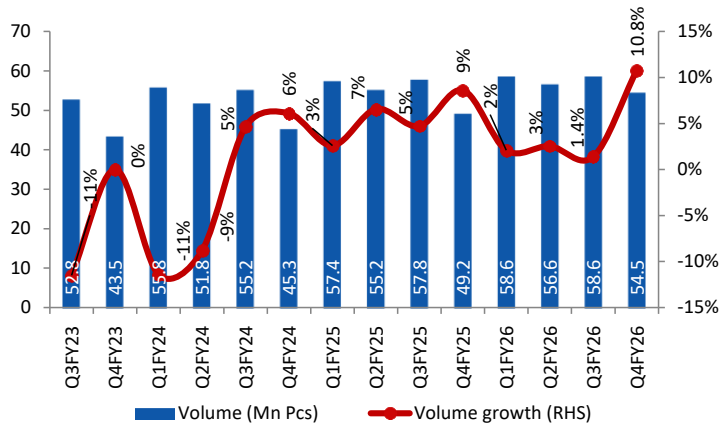
YE March (Rs mn)	Q4FY26	Q4FY25	Q3FY26	YoY (%)	QoQ (%)
Net Revenues	12,526	10,981	13,868	14.1	(9.7)
RM Costs	2,095	2,219	2,662	(5.6)	
(% of sales)	16.7	20.2	19.2		
Purchase of traded goods	3,112	2,073	3,171	50.1	
(% of sales)	24.8	18.9	22.9		
Gross Profit	7,319	6,689	8,034	9.4	(8.9)
Gross margin (%)	58.4	60.9	57.9	(-248 bps)	+50 bps
Employee cost	2,285	2,087	2,331	9.5	
(% of sales)	18.2	19.0	16.8		
Others	2,429	2,249	2,522	8.0	
(% of sales)	19.4	20.5	18.2		
EBITDA	2,606	2,352	3,181	10.8	(18.1)
EBITDA margin (%)	20.8	21.4	22.9	(-62 bps)	(-214 bps)
Other income	172	201	124		
PBIDT	2,777	2,554	3,305	8.8	(16.0)
Depreciation	280	249	265	12.8	
Interest	119	118	127	0.4	
PBT	2,378	2,187	2,913	8.7	(18.4)
Tax	591	547	667	8.0	
ETR (%)	24.8	25.0	22.9		
Adjusted PAT	1,787	1,640	2,245	9.0	(20.4)
PATAMI margin	14.3	14.9	16.2	(-67 bps)	(-192 bps)
Extraordinary income/ (exp.)	-	0	350		
Reported PAT	1,787	1,640	1,895	9.0	(5.7)
No. of shares (mn)	11.2	11.2	11.2		
Adj EPS (Rs)	160.2	147.0	169.9		

Source: Company, Systematix Research

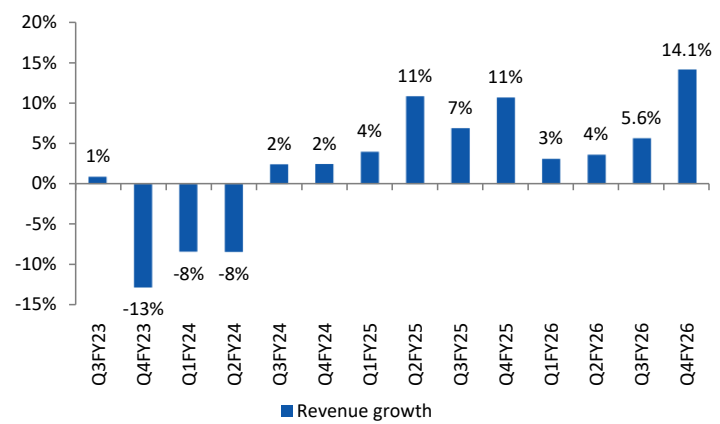
Exhibit 2: Change in estimates

	New estimates		Old estimates		Variation (%)	
	FY27E	FY28E	FY27E	FY28	FY27E	FY28E
Net Sales	57,132	63,176	55,686	61,415	2.6%	2.9%
EBITDA	11,604	13,005	11,559	12,825	0.4%	1.4%
EBITDA Margin	20.3%	20.6%	20.8%	20.9%		
Adj. PAT	7,915	8,897	7,771	8,637	1.9%	3.0%

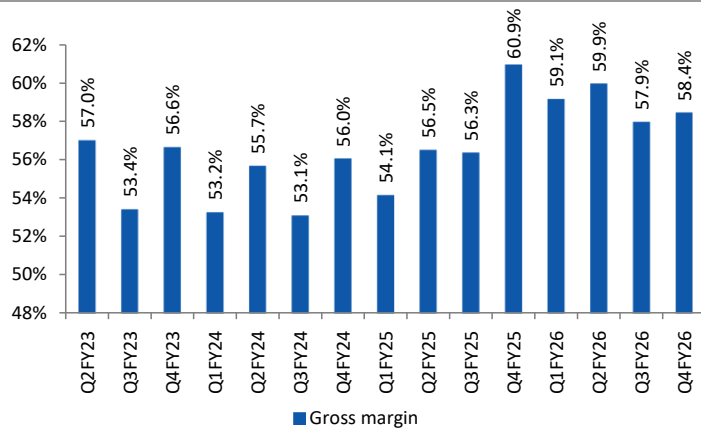
Source: Company, Systematix Research

Exhibit 3: Volumes grew 10.8% YoY

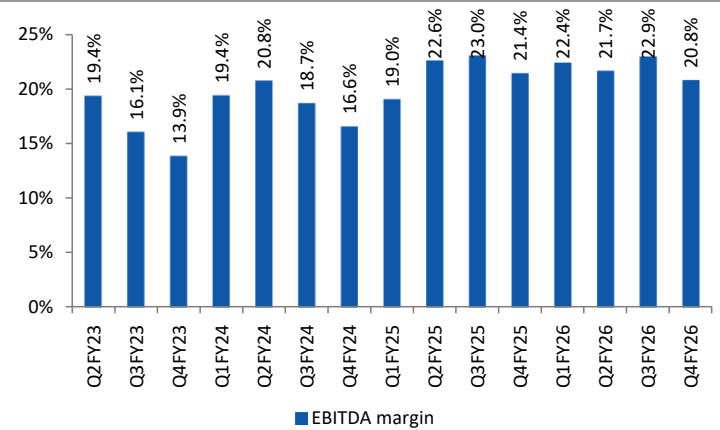
Source: Company, Systematix Research

Exhibit 4: Revenue grew 14.1% YoY

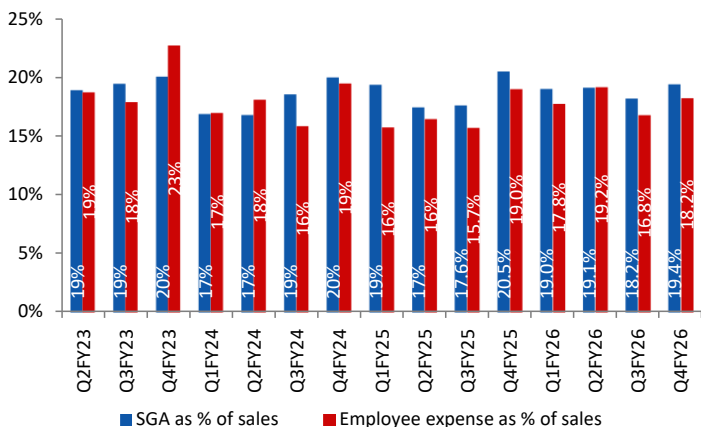
Source: Company, Systematix Research

Exhibit 5: Gross margin dropped 248 bps YoY

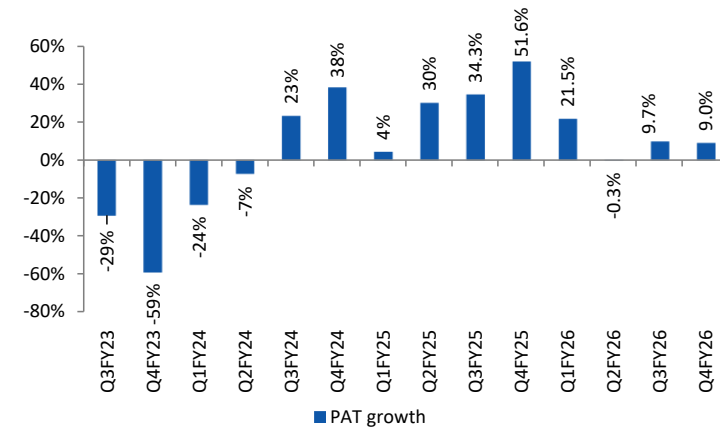
Source: Company, Systematix Research

Exhibit 6: EBITDA margin dropped by 62bps YoY

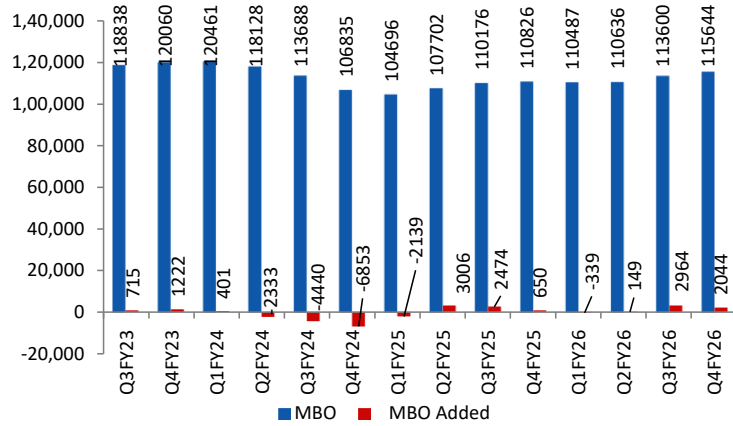
Source: Company, Systematix Research

Exhibit 7: SGA and employee expenses as % of sales

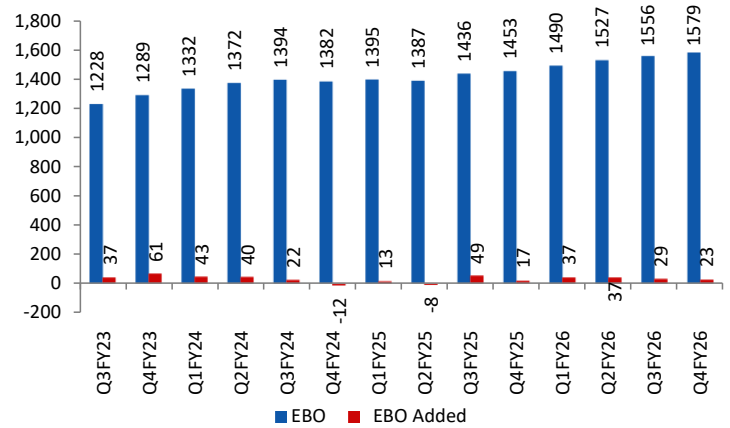
Source: Company, Systematix Research

Exhibit 8: Earnings grew by 9% YoY

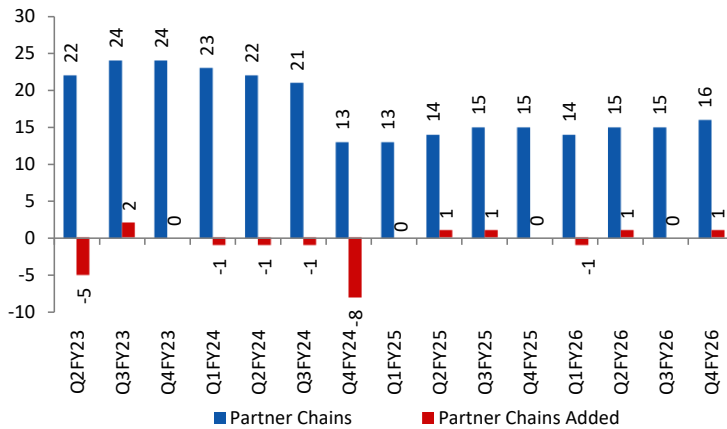
Source: Company, Systematix Research

Exhibit 9: Rationalization continued in the MBO channel

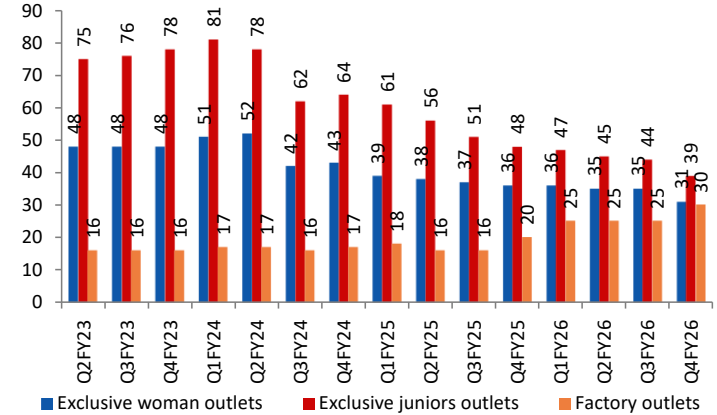
Source: Company, Systematix Research

Exhibit 10: EBO network at 1579 (added 23 EBO)

Source: Company, Systematix Research

Exhibit 11: LFS partner count stands at 16

Source: Company, Systematix Research

Exhibit 12: Strong network expansion across the product portfolio

Source: Company, Systematix Research

Exhibit 13: Currently trading at 53.2x one year forward P/E

Source: Company, Systematix Research

FINANCIALS

Profit & Loss Statement

YE: Mar (Rs mn)	FY24	FY25	FY26	FY27E	FY28E
Revenue	45,817	49,349	52,468	57,132	63,176
Gross profit	24,971	28,045	30,874	33,194	36,769
GP margin (%)	54.5%	56.8%	58.8%	58.1%	58.2%
Operating profit	8,723	10,625	11,529	11,604	13,005
OP margin (%)	19.0%	21.5%	22.0%	20.3%	20.6%
Depreciation	908	992	1,066	1,153	1,254
EBIT	7,814	9,633	10,462	10,451	11,752
Interest expense	449	464	498	519	537
Other income	200	616	639	677	711
Profit before tax	7,565	9,786	10,603	10,610	11,926
Taxes	1,873	2,494	2,615	2,695	3,029
Tax rate (%)	24.8%	25.5%	24.7%	25.4%	25.4%
Adj. PAT	5,692	7,291	7,988	7,915	8,897
Exceptional Items	-	-	(350)	-	-
Reported PAT	5,692	7,291	7,638	7,915	8,897
Adj. EPS	510	654	716	710	798

Source: Company, Systematix Research

Balance Sheet

YE: Mar (Rs mn)	FY24	FY25	FY26	FY27E	FY28E
Equity capital	112	112	112	112	112
Reserves	15,858	13,960	14,914	16,347	17,957
Debt	-	-	119	-	-
Deferred tax liab (net)	-	-	-	-	-
Other non current liabilities	1,475	2,253	2,369	2,492	2,621
Total liabilities	17,444	16,325	17,514	18,951	20,690
Fixed Asset	5,590	5,848	6,344	6,631	6,838
Investments	-	-	-	-	-
Other Non-current Assets	4,736	5,363	5,329	5,639	6,078
Inventories	11,703	8,589	10,557	10,174	11,251
Sundry debtors	1,586	1,916	2,011	2,035	2,250
Cash & equivalents	3,210	4,714	4,323	6,156	7,193
Loans and Advances	-	-	-	-	-
Sundry creditors	2,200	2,549	3,227	3,444	3,808
Other current liabilities	7,182	7,556	7,823	8,241	9,111
Total Assets	17,444	16,325	17,514	18,951	20,690

Source: Company, Systematix Research

Cash Flow

YE: Mar (Rs mn)	FY24	FY25	FY26	FY27E	FY28E
PBIT	8,014	10,250	11,101	11,128	12,463
Depreciation	908	992	1,066	1,153	1,254
Tax paid	(1,873)	(2,494)	(2,615)	(2,695)	(3,029)
Working capital Δ	4,052	3,508	(1,118)	994	(58)
Other operating items	-	-	-	-	-
Operating cashflow	11,101	12,255	8,434	10,580	10,629
Capital expenditure	(1,593)	(1,251)	(1,562)	(1,440)	(1,460)
Free cash flow	9,508	11,004	6,873	9,140	9,169
Equity raised	694	850	(550)	(0)	0
Investments	-	-	-	-	-
Debt financing/disposal	(2,482)	-	119	(119)	-
Interest Paid	(449)	(464)	(498)	(519)	(537)
Dividends paid	(4,127)	(10,039)	(6,135)	(6,482)	(7,286)
Other items	(15)	151	(200)	(187)	(310)
Net Δ in cash	3,129	1,503	(391)	1,833	1,036

Source: Company, Systematix Research

Ratios

YE: Mar	FY24	FY25	FY26	FY27E	FY28E
Revenue growth (%)	-4.3	7.7	6.3	8.9	10.6
Op profit growth (%)	1.1	21.8	8.5	0.7	12.1
Net profit growth (%)	-0.4	28.1	9.6	-0.9	12.4
OPM (%)	19.0	21.5	22.0	20.3	20.6
Net profit margin (%)	12.4	14.8	15.2	13.9	14.1
RoCE (%)	49.8	68.2	76.0	70.4	72.2
RoNW (%)	38.4	48.5	54.9	50.3	51.5
EPS (Rs)	510.3	653.7	716.2	709.6	797.6
DPS (Rs)	370.0	900.0	550.0	581.2	653.3
BVPS (Rs)	1431.7	1261.6	1347.2	1475.6	1620.0
Debtor days	13	14	14	13	13
Inventory days	93	64	73	65	65
Creditor days	18	19	22	22	22
P/E (x)	74.9	58.5	53.4	53.9	47.9
P/B (x)	26.7	30.3	28.4	25.9	23.6
EV/EBITDA (x)	48.5	39.7	36.6	36.2	32.2

Source: Company, Systematix Research

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Details of Registration : CIN - U65993MH1995PLC268414 | BSE SEBI Reg. No.: INZ000171134 (Member Code: 182) | NSE SEBI Reg. No.: INZ000171134 (Member Code: 11327) | MCX SEBI Reg. No.: INZ000171134 (Member Code: 56625) | NCDEX SEBI Reg. No.: INZ000171134 (Member Code: 1281) | Depository Participant SEBI Reg. No.: IN-DP-480-2020 (DP Id: 12034600) | PMS SEBI Reg. No.: INP000002692 | Research Analyst SEBI Reg. No.: INH200000840